

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

**BAKERLY, LLC
COMPLAINANT,

v.

SEAFRIGO USA INC.

RESPONDENT.**

**DECLARATION OF ALFONSE RAFFA IN SUPPORT OF REPLY BRIEF OF
SEAFRIGO**

I, Alfonse Raffa, hereby certify and state as follows:

Overview

1. My name is Alfonse “Al” Raffa. I served as the Managing Director of Seafrigo USA Inc. (“Seafrigo”) during the relevant time period beginning on February 2, 2019. I have been employed in the ocean transportation industry for thirty (30) years. This Declaration is based upon my personal knowledge.
2. The detention, demurrage and per diem charges at issue primarily arose from two main categories: a) Bakerly LLC’s (“Bakerly’s”) warehousing system which was unable to accept containers when they arrived at the port or terminal because Bakerly lacked space to accept them or because its warehouse operators could not coordinate the receipt and unloading of the containers; and b) an inability to pick up containers from a port or

terminal, or to return empty containers to the port or terminal, because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022.

Parties' History

3. Seafrigo first began providing transportation services for Bakerly in 2015. It first began providing door service for Bakerly in 2018. Beginning in 2015 when Seafrigo first started providing transportation services for Bakerly, it was the established practice between Seafrigo and Bakerly that Seafrigo would advance funds to third parties, such as terminal operators and Vessel Operating Common Carriers (VOCCs) for detention and demurrage charges and Bakerly would then reimburse Seafrigo for those charges. Seafrigo did so as an accommodation to Bakerly in order to allow for the release of Bakerly's containers and to prevent such charges from continuing to accrue.
4. Seafrigo has invoiced Bakerly over a thousand invoices containing provisions for the payment of detention and demurrage charges. Exh -.

Provisions of the Parties' Agreements

5. Seafrigo had Tariff Rules, bill of lading terms and conditions, and NVOCC Negotiated Rate Agreements (NRAs) which defined the parties' contractual obligations.

Terms and Condition of Service

6. On page 1 of every tender is a clause referring to demurrage and per diem.

Exhibits

7. The Exhibits referenced herein were produced in discovery by the parties or records and communications kept in the ordinary course of business by Seafrigo.
8. Seafrigo prepared two spreadsheets during the course of litigation reflecting the causes of the demurrage and detention assessed at issue. Exh. —

9. The second spreadsheet was formulated to include smaller invoices that had been issued to Bakerly by Seafrigo.
10. Both spreadsheets were accompanied by folders showing shipping documents and communications related to the invoices issued. Exh. –
11. The Spreadsheets are included in Seafrigo's Appendix.

Parties' Course of Conduct

12. It was the established course of conduct between Seafrigo and Bakerly for Seafrigo as an NVOCC to invoice Bakerly as the Merchant for detention and demurrage charges related to Bakerly's goods.
13. It has not only been the established course of conduct between Seafrigo and Bakerly for Seafrigo to invoice Bakerly for detention and demurrage charges, it is the long-established course of conduct between NVOCCs and shippers and consignees for decades.
14. Requiring that shippers and consignees pay such charges in advance would unnecessarily slow ocean transportation and grind such transportation to a halt with containers sitting at ports and terminals for extended periods of time.
15. Pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, the parties' NRAs, the parties' course of billing and payment, and the practice in the industry, Bakerly as the Merchant assumes responsibility for demurrage and detention charges assessed against its cargo arising during the transportation of its goods.

Bakerly's Deficient Warehousing System

16. Bakerly's warehousing system often was unable to accept containers when they arrived at the port or terminal because Bakerly lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers. As early as December 8, 2020, the wait time to unload containers at Bakerly's warehouses had gotten so bad that Seafrigo asked to simply drop off 17 containers and pick up the empties later because drivers were losing a day to make deliveries at the mismanaged warehouses.
17. Bakerly's inadequate warehouse operators lacked the personnel to timely unload containers that had been delivered to their sites, thus causing huge amounts of detention or demurrage to accrue. The Bakerly warehouses' inability to timely accept and unload delivered containers also resulted in truckers having to spend extended hours or in some cases having to stay overnight at the facility.
18. On February 26, 2021, one of Seafrigo's truckers informed Seafrigo that after waiting more than seven hours, he was still waiting to deliver a container at Lineage (one of Bakerly's warehouses) at 9:40 PM despite having an appointment to deliver the container at 2:30 PM. When the driver asked the warehouse when the goods actually could be delivered, the warehouse told him that they had no idea. As a result of this mismanagement at the warehouse, Seafrigo instructed the driver to bring the load back to Seafrigo's yards where it accrued detention charges, awaiting rescheduled delivery.
19. Due to the warehouse delays numerous truckers refused to service Bakerly's warehouses.
20. On March 29, 2021, Seafrigo informed Bakerly and one of Bakerly's warehouses that any time one of Seafrigo's drivers delivered a container for appointments scheduled after 6:30 PM., they were stuck there overnight, as follows, "Naturally, the more this happens, the drivers are not going to go to the warehouse's location." Seafrigo further

requested answers regarding these delays because it was receiving major pushback from diligent truck drivers it has worked with for years. 45A

21. The statement of “41 team members out with Covid” and “we have another 40 that used our automated line to call out sick” was made by Frank Palaia, Sales Manager of Lineage Allentown PA (the warehouse that Bakerly informed Seafrigo that it had terminated in June 2021), not by a Seafrigo employee. The statement highlights the difficulties that the Bakerly warehouses had in staffing their facilities which cause most of the detention and demurrage charges at issue.
22. While ignoring the overwhelming weight of contemporaneous documentation reflecting that its warehousing system was so poor that truckers refused to deliver containers to its warehouses and that its warehouses were so grossly understaffed that they could not accept or unload containers, Bakerly refers to isolated, misleading instances involving truckers.
23. Bakerly fails to recognize that truckers’ hours are governed by Department of Transportation (DOT) regulations. Thus, if a driver has been waiting all day to pick up a container at the terminal or has to wait for multiple hours at the Bakerly warehouse for containers to be unloaded, it must comply with the DOT time limits for truckers’ hours and cannot accept an appointment which will unlawfully extend its hours.
24. Seafrigo was given appointments at 10:30 and its truckers arrived early for their appointments. Additionally, it was Bakerly’s chosen warehouse that created the burden of having to drop a container from New York to Pennsylvania, which is contrary to well accepted practice for multiple reasons, including driver hours, extra costs and driver

capacity. Despite the unreasonable conditions that were imposed, Seafrigo offered accommodations to be able to drop containers at this location as a convenience.

25. There is nothing in the October 11-12, 2021, email exchanges referenced by Bakerly at CX01309 that indicates any incorrect information was provided. AR: PFF52d Instead, Seafrigo's dispatcher requested that the Jersey City location provide more delivery slots in order to avoid demurrage. Not surprisingly, the warehouse was unable to do so. The email communications referenced also reflect the extraordinary hurdles faced in timely delivering containers so as to avoid demurrage charges because of the Bakerly warehouses' inability to receive them.

26. Further, Bakerly chose warehouses that not only were unable to handle the volume of shipments required by Bakerly but also unable to provide reasonable delivery appointment times in order for Seafrigo drivers to comply with DOT regulations.

Aborted Drop and Pick

27. The proposed drop-and-pick system was finally implemented in May of 2021. Unfortunately, due to continued negligence on the part of Bakerly's warehouse, it proved to be a disaster.

28. In a meeting between Seafrigo and Bakerly in May of 2021, the parties discussed Bakerly's lack of warehouse space.

29. In terminating its relationship with Lineage PA without advance notice, Bakerly left stranded numerous containers that were either sitting at the terminal (accruing demurrage) or already in Seafrigo's possession ready for delivery (and thus incurring detention).

30. This was done during a period when a large number of Bakerly containers were being shipped to the United States for delivery. It also coincided with a huge influx of imports that was taxing the ocean transportation system.
31. Given that Lineage was a major warehouser for Bakerly, and that Bakerly itself had acknowledged just a few weeks earlier that it lacked warehouse space, this caused great disruption in the Bakerly supply chain.
32. In an email, Bakerly apologized for its miscommunication and its failure to timely call Seafrigo to explain what was happening. In the same e-mail, Bakerly admitted that the communication regarding ceasing delivery “was too fast,” but that Bakerly could not get any loads from the warehouse in question to its customers in the middle of the peak season so it could not continue its partnership. Bakerly then cryptically explained that it needed to keep some containers at that warehouse. 53C. That was the same warehouse that Bakerly previously had informed Seafrigo that it should stop delivering to immediately.
33. At this point, it was apparent that Bakerly had lost control of its warehousing system.
34. In addition to additional containers not being unloaded and thus further backlogging at the Bakerly warehouses, truckers were forced to drive to other facilities to pick up empty containers. This further taxed Seafrigo’s driver resource pool which was already strained due to the nationwide trucker shortage.
35. Later that morning, Bakerly’s warehouse informed Seafrigo that the delivery was scheduled as a drop rather than as a live delivery. Seafrigo then informed the warehouse that they were not using the drop-and-pick program anymore. 23B. Apparently, Bakerly did not inform the warehouse that they had discontinued the drop and pick program.

36. As a result of Bakerly's decision to limit acceptance of containers to only two per day, the number of Bakerly containers at the ports and terminals accumulating demurrage accelerated greatly. The problem was worsened because Bakerly had no plan to address it.
37. Bakerly's decision to limit the number of containers to two per day was during a period when Bakerly was importing well over a hundred containers per month.
38. In January of 2022, after Bakerly inexplicably had rehired Lineage despite Lineage's myriad shortcomings, Lineage admitted that it could not handle the volume of Bakerly containers and that 81 of its employees were absent from work.

Bakerly's Exacerbation of Dire Port Congestion

39. The timely pickup of full Bakerly containers at terminals and the return of empty Bakerly containers was substantially hindered by nationwide record port congestion that plagued the industry and terminals during the relevant time period. The ability of Seafrigo to timely provide the services at issue was also hindered, and in many cases rendered impossible, by Bakerly's inadequate warehouse space and facilities which were unable to accept delivery of full containers thus resulting in the accumulation of significant amounts of demurrage.
40. DWELL time is the amount of time a container remains dormant at a terminal or port. Despite the obstacles faced by Seafrigo, Seafrigo's DWELL time for containers it was transporting during the time period at issue was below the national average.
41. Jersey City is 91 miles from Philadelphia. Truckers on tight timelines and governed by Department of Transportation (DOT) time constraints cannot immediately reschedule deliveries 90 miles apart.

42. When port congestion increased and Bakerly's warehouses proved unable to accept delivery and to timely unload containers such charges began accruing and multiple invoices were necessitated.

Government Holds

43. Customs and Border Patrol ("CBP") reserves the right to inspect goods and hold containers for a variety of reasons.

44. The Food and Drug Administration also inspects food products to ensure they are not adulterated.

45. On February 4, 2022, Seafrigo made diligent efforts to get a Customs holds released, contacting CBP officials. 60B. Inexplicably, Bakerly asserts Seafrigo should somehow have prevented the Customs hold 10 days before the vessel arrived even though Customs entries are not filed until five days prior to a vessel's arrival per Customs regulations. 60A.

46. The goods being imported by Bakerly were frozen food goods. Customs and Border Patrol ("CBP") reserves the right to inspect goods and hold containers for a variety of reasons. The Food and Drug Administration also inspects food products to ensure they are not adulterated. The charges associated with such delays are not caused by Seafrigo and not its responsibility.

47. Detention and demurrage charges assessed due to government holds were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence.

48. Seafrigo paid MTOs and VOCCs \$68,745.59 as a result of government holds.

Bakerly's Responsibility for Detention and Demurrage Charges

49. Pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, the (NRAs) between Seafrigo and Bakerly, the parties' course of billing and payment, and the practice in the industry, Bakerly was responsible for demurrage and detention charges assessed by third parties that were its fault.
50. Seafrigo agreed to issue another \$30,000 credit during July 2021 and Bakerly agreed to pay outstanding detention and demurrage invoices. Seafrigo was already providing invoices and back up to Bakerly.

Snowstorms and Port Closures

51. On December 5, 2022, Bakerly agreed that it would not dispute Seafrigo's right to be reimbursed for charges resulting from terminal closures caused by snowstorms in December of 2020 and January or 2021. Detention and demurrage charges assessed due to port closures as a result of snowstorms were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence.
52. The amount in dispute related to terminal closures is \$361,178.54.
53. Seafrigo denies that it had poor performance during the time period at issue in this case. Seafrigo had no control over whether terminals shut down due to snowstorms.
54. Neither Seafrigo nor Bakerly were able to foresee the extent of the detention and demurrage which resulted from the unprecedented intermodal transportation congestion which plagued the industry during the time period at issue. At that time, Seafrigo was also not aware that Bakerly's warehousing's system was so deficient that Bakerly would terminate one of its major warehouse without notice and that the Bakerly warehouse

had insufficient personnel to timely accept full containers and to timely unload empty containers.

55. In exchange for Seafrigo's extension of \$30,000 of credit, Bakerly agreed to pay outstanding detention and demurrage charges. Bakerly now refuses to pay the same detention and demurrage charges.

Port Congestion

56. Huge volumes of goods being shipped, erratic shipping line deliveries, and a resultant inability of carriers and terminals to handle such volumes, compounded by the COVID pandemic, led to the imposition of record amounts of detention and demurrage charges in 2020 through 2022. At the terminal or port level, this frequently resulted in containers being stacked in a disorganized, haphazard fashion which prevented their pickup. As a result, through no fault of Seafrigo, such containers sat at terminals accumulating demurrage charges.

57. Seafrigo did not cause and could not prevent, through the exercise of due diligence, detention and demurrage charges assessed due to port congestion.

58. Charges not caused by Bakerly (or Seafrigo) or not falling within other categories such as terminal closures, are rightly attributed to Port Congestion. While Seafrigo had allocated certain detention and demurrage charges as cause unknown, careful analysis reveals they are properly attributable to Port Congestion. Accordingly, Seafrigo is entitled to recover \$472,672.71 now attributed to Port Congestion.

Chassis or Genset Shortages

59. When truckers arrive at a terminal, the terminal assigns a chassis for the container on which the container should be loaded. If the goods being transported are frozen goods,

the terminal also assigns a genset to keep such goods frozen. During the transportation crisis that plagued the nation from 2020 through 2022, terminals frequently were short of chassis or gensets. As a result, containers would not be made available for delivery.

60. For containers for which gensets were not available, Seafrigo drivers offered to pick up containers provided that the Bakerly warehouse would provide a plug for keeping the container frozen. In some instances, the warehouses were willing to do so. In other instances, the Bakerly warehouses were not.
61. Seafrigo did not cause and could not prevent, through the exercise of due diligence, detention and demurrage charges assessed due to lack of chassis and gensets.
62. The amount of the charges Seafrigo paid to MTOs and VOCCs as result of chassis of genset shortages was \$1,901.40.

Trucker Shortages

63. A shortage of truckers plagued the nation in 2020 through 2022. This was an unavoidable and unforeseen event beyond Seafrigo's control. In some instances, the trucker shortage prevented containers from being timely picked up or returned to ports or terminals. Mismanagement at Bakerly warehouses exacerbated this problem with truckers refusing to deliver to the warehouse because they often were forced to spend lengthy days and nights waiting for containers to be unloaded.
64. Seafrigo did not cause and could not prevent, through the exercise of due diligence, detention and demurrage charges assessed due to a lack of truckers. The amount of the charges Seafrigo paid to MTOs and VOCCs as result of a nationwide shortage of truckers was \$177,574.50.

65. Bakerly's statement that Seafrigo would not give consideration to the nationwide driver shortage is false. Seafrigo sent out a blast to its customers on Sept 27, 2021, that Seafrigo would be hiring outside truckers at higher rates in order to support its coverage.

Seafrigo's Invoicing, Negotiations with Carriers, and Bakerly's Assurances it Would Pay

66. Seafrigo is not seeking recovery for any charges incurred due to Seafrigo's fault. 57l.

67. All of the invoices at issue are included in the Seafrigo Appendix.

68. Correspondence related to specific invoices are identified in folders along with the invoices.

69. Throughout Seafrigo's business relationship with Bakerly, Seafrigo's accounting department sent to Bakerly's accounting team weekly statements noting what balance was due Seafrigo from Bakerly. Thus, Bakerly had ample opportunity to inquire about any invoices supposedly not received.

70. During the period in question, a significant number of Bakerly's accounting staff left the company or had only recently joined Bakerly.

71. Individual invoices were being sent on a per transaction basis. Thus, Bakerly was fully aware that such charges were owed.

72. The calculations of the cause of the detention and demurrage reflect a review of the data and a careful analysis of the reason for the detention and demurrage charges accrued. The charges were attributed to categories based upon the shipping records or by contemporaneous communications regarding the shipments. For example, if a container arrived at a terminal on X date and the Bakerly warehouse failed to schedule it for delivery until 10 days later, Seafrigo properly assessed the resulting demurrage as caused by Bakerly. Further, Seafrigo provided documents in discovery properly labeled in

folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly.

73. Bakerly was provided with information regarding the detention and demurrage charges at issue. Further, Seafrigo communicated with the Bakerly team on all deliveries through email and via a daily report that was automatically being sent to various Bakerly team members.

74. If containers sit on a terminal or at a warehouse for an extended period of time, more than one invoice for that container may be issued. That simply reflects the billing practice of the underlying carrier or terminal.

75. In some instances, Seafrigo had to re-send invoices to Bakerly because apparently Bakerly lost track (or claimed to have lost track) of invoices that had previously been issued.

76. Bakerly's statement that it is only liable for \$198,551.87 of the charges at issue greatly underestimates the charges resulting from the fact that its warehouses were grossly understaffed and unable to accept or unload containers. Bakerly apparently failed to account for the fact that at one point it reported that it terminated its relationship with Lineage, a primary warehouser.

77. The invoices assessed by Seafrigo are not duplicative. A VOCC might issue a demurrage invoice with the expectation that a Bakerly warehouse would schedule an appointment for delivery of the container by a specific date, and, if Bakerly's warehouse failed to schedule the delivery as expected, additional demurrage would accrue. Seafrigo then would pay that amount to obtain the release of the container and would have to issue an additional invoice to Bakerly reflecting the additional charge. By way of example, two

invoices for demurrage were generated on container #OOLU6253024: first, an invoice was generated on October 8, 2021 in the amount of \$1,389.00 with the expectation that the container would be picked up on that date; due to problems at Bakerly's warehouse, however, the container was not timely picked up, accrued additional charges, and a second invoice for \$4,800 reflecting the additional charges accrued was issued October 13, 2021, the date on which the container was successfully picked up.

78. Bakerly apparently understands such charges were not duplicative because even in its Opening Brief it characterizes the invoices as "partial amounts of the total demurrage" which reflect additional demurrage or detention charges that accrued and were invoiced after an initial invoice had been issued.
79. Bakerly asked Seafrigo to analyze what Bakerly referred to as a number of "duplicative invoices." Of those 317 invoices, Seafrigo analyzed them and identified one billing error of \$3,650. Seafrigo is not seeking payment of that amount from Bakerly.
80. Seafrigo never agreed to issue only one invoice per container. Instead, throughout the time period at issue Seafrigo issued "real time" invoices and status reports reflecting charges assessed by third parties. Thus, if detention and demurrage accrued after the date when containers were scheduled to be picked up or returned, Seafrigo paid and forwarded such invoices to Bakerly.
81. During the period in question, VOCCs and MTOs were not obligated to provide detailed invoices as is now required under OSRA. Seafrigo forwarded information as provided by MTOs and VOCCs. SSLs. Seafrigo was not obligated to provide information not in its possession. The impossibility of obtaining certain details from SSLs and MTOs was

compounded by the fact that Bakerly often only sought it more than a year after invoices and back up information had been provided.

82. Seafrigo admits that on occasion it had to issue separate invoices for detention and demurrage charges that accrued or were invoiced by third parties at different times. The reason that Seafrigo was not required to issue multiple invoices for one container during much of the 2018 to 2020 period was that the market did not require it. When port congestion increased and Bakerly's warehouses proved unable to accept delivery and to timely unload containers such charges began accruing and multiple invoices were necessitated.

83. The proposed invoicing rule was necessitated by the fact that VOCCs and MTOs were often issuing belated invoices. Seafrigo issued the invoices in dispute much sooner than 60 days after the charges had stopped accruing. In some instances, however, Seafrigo had to re-send invoices to Bakerly because apparently Bakerly lost track (or claimed to have lost track) of invoices that had previously been issued.

84. Seafrigo forwarded information as provided by MTOs and VOCCs. Seafrigo was not obligated to provide information not in its possession. The impossibility of obtaining certain details from VOCCs and MTOs was compounded by the fact that Bakerly often only sought it more than a year after invoices and back up information had been provided.

85. The notion that Bakery should be excused from paying millions of dollars because some invoices purportedly did not include enough details is without justification.

86. Bakerly's Opening Brief evidences that it painstakingly reviewed all of the invoices and backup information, and then carefully examined the MTOs and VOCCSs tariffs to try

and identify errors. Having done so, Bakerly has only been able to identify a trivial amount of purported errors out of millions of dollars in dispute.

87. Bakerly at one point identified 317 invoices which it believed were duplicative. Seafrigo carefully re-reviewed those files and identified one error for less than \$4,000. SPPF.

88. Further, the information that Bakerly supposedly lacked regarding the invoices, such as the days of demurrage and the rates being charged by the VOCCs and MTOs are publicly available information.

89. The MTO's websites reflect the Last Free Day for containers and its invoices reflected the date of pick up. Thus, the number of days of demurrage is easily calculated.

90. Similarly, the rates being charged are reflected in the MTOs and NVOCCs tariffs.

91. Bakerly concedes as much in footnote 1 of its Proposed Findings of Fact.

Bakerly's Failure to Pay Invoices

92. In May 2021, Seafrigo sent a significant number of invoices and backup documentation to Bakerly via FedEx.

93. Bakerly at all times knew that Seafrigo was paying detention and demurrage charges on Bakerly's behalf.

94. At that time, or at any time previously, Bakerly could have assumed responsibility for delivering the cargo at issue to its warehouses and start paying detention and demurrage charges directly to MTOs and VOCCs.

95. Bakerly intentionally chose not to do so resulting in Seafrigo continuing to advance funds on Bakerly's behalf.

96. The charges that accrued formed the basis of the July 2021 alert were not the results of Seafrigo performance issues. Further, individual invoices were being sent on a per

transaction basis. Thus, Bakerly was fully aware that such charges were owed. Seafrigo felt compelled to issue the alert because during the months of April, May, and June of 2021 there was minimal detention and demurrage charges accruing. By July 2021, however, demurrage and detention began to accrue in greater amounts. The notice was required because once again Bakerly was not paying its invoices.

97. The parties had a telephone call to discuss the July 2021 alert regarding outstanding detention and demurrage that had accrued against Bakerly. These invoice charges were not the result of Seafrigo's performance.

98. On the same July 2021 phone call the parties discussed the shortage of truckers plaguing the industry.

99. Carriers and terminals assess freight, and other charges as they become due. If containers sit on a terminal or at a warehouse for an extended period of time, more than one invoice for that container may be issued. That simply reflects the billing practice of the underlying carrier or terminal. Bakerly's refusal to pay such invoices is unjustified and smacks of bad faith.

Efforts to Have VOCCs Waive Detention and Demurrage Charges

100. Jerome Lorrain and I separately met with the two primary VOCCs for Bakerly, CMA and MSC. and sought to have them waive detention and demurrage charges.

101. Because those carriers had significant leverage in an extremely tight market, they flatly refused to waive such charges.

102. Seafrigo kept Bakerly informed of its efforts in this regard.

103. On February 9, 2022, demurrage was assessed by a terminal. Seafrigo objected to the charges on the grounds that the driver checked in before the cut-off time but could not get

a ticket for the release of the container due to technical issues at the terminal. Although Seafrigo challenged the assessment of the demurrage charges, the charges were not waived.

104. Seafrigo was under no obligation to negotiate with VOCCs and MTOs to have them reduce charges, let alone to bring legal action against them on behalf of Bakerly.

105. Bakerly's interpretation of the contracts as requiring Seafrigo to assume responsibility for payment of detention and demurrage charges is contrary to the parties well-established course of conduct, as well as the course of dealing in the maritime industry at large.

106. If, as Bakerly now contends, it had no obligation to reimburse Seafrigo for the millions of dollars Seafrigo was advancing on its behalf, Seafrigo would not have continued to do so.

Pass-Throughs

107. The vast amount of the charges in dispute are demurrage and detention charges assessed by VOCCs and MTOs which for most of the time period at issue were straight pass-through charges assessed without mark up.

108. Seafrigo only began assessing administrative costs associated with the invoices in dispute in late 2021 when the amount of money it had paid to third parties such as marine terminals had accumulated to such excessive amounts that it unnecessarily impacted Seafrigo's cash flow.

109. MTOs always required payment of demurrage charges in order to obtain the release of Bakerly containers.

110. MTOs were also permitted to assess additional charges such as credit card processing fees. For example, Maher Terminal charged an additional 3.99% for payments made by credit card.
111. If Seafrigo failed to pay such charges, the containers would remain at the terminal and demurrage charges would continue to accrue.
112. Seafrigo invoiced Bakerly such charges on a regular basis.
113. Bakerly timely paid some of the demurrage, detention and other ancillary charges assessed by Seafrigo.
114. In other instances, Bakerly disputed the invoices, incorrectly asserting that more backup information was required.
115. During the time period in question, MTOs and VOCCs were not obligated to provide detailed invoices related to detention and demurrage charges being assessed.
116. Throughout the time period at issue Bakerly was fully aware that Seafrigo was paying steamship lines and terminals out of its own pocket for assessed detention and demurrage charges in order to allow Bakerly's containers to be released. Seafrigo has been doing so since the beginning of the parties' contractual relationship, dating back to 2015 (although such charges were not significant until late in 2020).
117. Bakerly never instructed Seafrigo to stop advancing detention and demurrage charges on its behalf.
118. Only after initiating this litigation did Bakerly assert that it had no contractual obligation to pay detention and demurrage associated with the cargo.

119. If Seafrigo had been informed that Bakerly thought that Seafrigo was assuming the obligation to pay detention, demurrage, per diem, and other ancillary charges, it would have refused to advance the millions of dollars in advances it made on behalf of Bakerly.
120. Seafrigo was entitled to terminate its services to Bakerly at any time pursuant to both the NRAs under which the cargo moved and the applicable bills of lading. Seafrigo also at its sole discretion, could refuse to make advances on Bakerly's behalf. Seafrigo did so as an accommodation to Bakerly.
121. The margins for the transportation services provided by NVOCCs are so narrow that it would be economically unfeasible for an NVOCC to assume the obligation to pay detention, demurrage, per diem, and other ancillary charges rather than having such charges be the responsibility of the shipper and/or consignee.
122. In my over thirty years of experience, it uniformly has been the obligation of the shipper and/or consignee to pay for detention and demurrage charges, as opposed to the NVOCC, unless such charges are a result of the NVOCC's failure to perform.
123. For an extended period, Bakerly was on notice of the charges that were accruing due to its dysfunctional warehousing operations but failed to correct the problem.

Overview of Reasons for Detention and Demurrage Charges at Issue

124. Seafrigo carefully analyzed all information in its possession to determine the reasons for the detention and demurrage charges in dispute. In some instances, those reasons might overlap. For example, both port congestion and equipment shortages might simultaneously contribute to the charges accruing. Seafrigo made a good faith effort in those instances to identify the primary cause.

125. Seafrigo prepared two spreadsheets reflecting the causes of the demurrage and detention assessed at issue. They are referred to as Pivot 1 and Pivot 2 by Bakerly.
126. Prior to the nationwide port congestion from 2019 through December of 2020, Seafrigo invoiced Bakerly only a total of \$33,106.98 in detention and demurrage charges, all of which Bakerly paid. It was only after the rampant issues plaguing the transportation system thereafter that the detention and demurrage charges escalated so greatly.
127. Charges not caused by Bakerly (or Seafrigo) or not falling within other categories such as terminal closures, are rightly attributed to port congestion.
128. In Pivot 2, certain detention and demurrage charges which had been identified as cause unknown were allocated to Port Congestion. Upon further careful analysis, Seafrigo has placed all of those remaining charges in the Port Congestion category.
129. While the Port Congestion category requires more analysis than the detention and demurrage charges caused by Bakerly --which is easy to attribute given the extensive email correspondence between the parties and Bakerly's express acknowledgment of its warehouses' many shortcomings -- a review of the underlying facts confirms that the charges are in no way attributable to Seafrigo and instead are the result of the nationwide congestion plaguing the industry in late 2020 through early 2022.
130. Accordingly, Seafrigo is entitled to recover \$472,672.71 now in the Port Congestion category.

Responses to Bakerly's Proposed Findings of Facts (PFF)

131. Bakerly's statement in PFF 5(b) is inaccurate. Seafrigo NA Coldstorage did not perform any motor carrier services.

132. Bakerly's statement in PFF 25 is misleading. Seafrigo does not dispute that Bakerly added new carriers including CEVA which is owned by CMA. CMA is a VOCC that is one of the largest refrigerated container carriers providing service from Northern Europe to the United States. CMA provided much of the transportation at issue from which detention and demurrage charges arose.
133. Bakerly's statement in PFF 27 is inaccurate. Invoices and backups were provided to Bakerly. Seafrigo once again informed Bakerly that it was doing its best to pull containers out of the terminals as quickly as possible. Seafrigo informed Bakerly, however, that it could not be held responsible for the situation, especially given the poor performance of the Bakerly warehouses in offloading containers on a timely basis. Seafrigo had informed the entire Bakerly team that it was unable to find truckers willing to offload at the Bakerly warehouses because of the extremely long waiting times.
134. Bakerly's statement in PFF 29 is inaccurate. Seafrigo was already sending invoices per transaction and the new weekly reports being sought were redundant.

Bakerly's Review of Seafrigo Invoicing

135. Bakerly's statement in PFF 31 is inaccurate. Bakerly requested that Seafrigo start sending a weekly recap report on detention and demurrage charges months after the containers had been handled and invoiced. Seafrigo informed Bakerly that it was unnecessary and wasteful to provide a recap of information that had previously been provided.
136. Bakerly's statement in PFF 32 is inaccurate. The difficulty referenced by Bakerly was due to its own failure to review invoices and back up. The invoices sent by Seafrigo were coordinated based on "real time" status. If detention and demurrage accrued after the

date when containers were scheduled to be picked up or returned, new payments were required, and new invoices had to be issued. Further, my email on November 13, 2021, was in response to a request for a recap of information that previously had been provided and regurgitating it would have been a waste of time.

137. Bakerly's statement in PFF – is inaccurate. There was no negligence on the part of Seafrigo regarding its invoicing. Seafrigo sent invoices in real time as the events occurred. Bakerly's team was apparently unable (or unwilling) to follow the information that was being sent to them whether it be through individual invoices and/or day to day emails.

138. Bakerly's statement in PFF – is inaccurate. MTOs and VOCCs frequently failed to provide detailed invoices prior to the enactment of OSRA 2022, which was one of the reasons OSRA 2022 was enacted. VOCCs

139. Bakerly's statement in PFF 46 is inaccurate. The summary provided by Bakerly fails to recognize (or acknowledge) that Maher Terminal assessed a fee of 3.99% on detention and demurrage paid by credit card which is how the invoices at issue were paid. Bakerly further fails to acknowledge that by the time the invoices in question had been issued, Bakerly had allowed a significant amount of detention and demurrage to accrue which compelled Seafrigo to assess finance fees and administrative fees to cover Seafrigo's enormous cash outlay. Nonetheless, Seafrigo admits that in this isolated instance it overcharged Bakerly by \$8,879.55.

140. Bakerly's statement in PFF 47 is inaccurate. Invoice nos. IMP10-21-07638-04 (dated 10/12/2021), IMP10-21-07638-03 (dated 10/12/2021), and IMP10-21-07638-04 (dated (10/8/2021) are correct. Bakerly fails to recognize that when paying Maher Terminal with

a Credit Card, Maher Terminal charges a finance fee in addition to the detention and demurrage charges of 3.99%.

141. Bakerly's statement in PFF 48 is inaccurate. The summary provided by Bakerly fails to recognize or acknowledge that Maher Terminal assessed a fee of 3.99% on detention and demurrage paid by credit card which is how the invoices at issue were paid. Bakerly further fails to acknowledge that by the time the invoices in question had been issued, Bakerly had allowed a significant amount of detention and demurrage to accrue which compelled Seafrigo to assess finance fees and administrative fees to cover Seafrigo's enormous cash outlays. Finally, while Maher Terminal's Marine Schedule provides that collecting demurrage for the ocean common carrier is optional, here Maher insisted that such charges be paid, or it refused to release the Bakerly containers in its possession.

142. Bakerly's statement in PFF 49 is inaccurate. Seafrigo does not dispute the amounts charged and the amounts unpaid in Bakerly PFF 49. Seafrigo denies that any of the charges assessed were in any way unlawful.

143. Bakerly's statement in PFF 55 is inaccurate. Seafrigo provided quality service. Further, Bakerly's decision to terminate its contract with Seafrigo reflected a bad faith tactical decision on its part in recognition of the fact that it could not seek to avoid paying millions of dollars advanced by Seafrigo while still simultaneously using Seafrigo as its primary transportation provider.

144. Bakerly's statement in PFF 56 is inaccurate. Seafrigo provided door service but pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, and the parties customary practices did not assume responsibility for detention and demurrage charges unless caused by Seafrigo itself. SPPF. Further, contemporaneous documents reflect that

Bakerly was directly involved in directing (and terminating) the actions of its warehouses.

145. Bakerly's statement in PFF 56(a) is inaccurate. The email exchanges appearing at CX00180, 300-302, 379; CX00483 clearly reflect that the four containers were diverted by Bakerly at the last minute to a new location.

146. Bakerly's statement in PFF 56(b) is inaccurate. It was not uncommon for Seafrigo to have to reschedule containers due to capacity issues. Such last-minute diversions inevitably resulted in some containers not being timely delivered. The majority of the charges at issue in Bakerly PFF 56(b) were a direct result of inadequate and understaffed warehouses.

147. Bakerly's statement in PFF 57(a) is inaccurate. As reflected in Bakerly PFF 57(a), the Bakerly employee instructed Seafrigo to please "send us the DO [Delivery Order] and pay demurrage. I have drivers ready and use your trucking company to deliver the rest of that list." The email reflects that Seafrigo was fully prepared to perform as needed.

148. Bakerly's statement in PFF 57(b) is inaccurate. As Seafrigo advised Bakerly on numerous occasions, it was prepared to have its truckers pull containers when there were no gensets at terminals through no fault of Seafrigo. This was commonly done by Seafrigo so as to help its customer avoid paying detention and demurrage as a result of having to wait for equipment to possibly become available at a later date. Regarding Bakerly PFF 57(b), Seafrigo was making a concerted effort to pick up containers (prepull) and store them in its yard as a way to help its customer avoid further detention and demurrage charges from accruing.

149. Bakerly's statement in PFF 57(c) is inaccurate. Because more than one container is referenced in the email discussed at Bakerly PFF 57(c) it is unclear what specific container is being referenced regarding a specific delivery date. It is clear from the email, however, that Bakerly's Easton Pennsylvanian warehouse location was unable to accept more than one container per day. "It is hard to deliver 2 containers to our plant the same day" thus further evidencing that the Bakerly's warehouses were unable to receive and unload containers on time.
150. Bakerly's statement in PFF 57(d) is inaccurate. As I already stated above, there were equipment shortages that plagued the industry during this time period. Seafrigo proactively offered to pick up the containers without the genset as a means to avoid Bakerly having to pay detention and demurrage charges.
151. Bakerly's statement in PFF 57(e) is impossible to answer as Bakerly does not reference the Bakerly PO number, Seafrigo Invoice number and/or the container number in question.
152. Bakerly's statement in PFF 57(g) is inaccurate. The email exchange cited in CX00639 reflects that the containers were on USDA Hold and therefore Seafrigo could not pick up the containers and deliver them. Also Bakerly neglected to mention key timelines relating to all of these containers mentioned in this email exchange particularly the ETA of the vessel being 1/28/2022, the Last Free Day at the port being 2/4/2022. The email also does not reflect the daily report the Bakerly team was receiving which indicated ETA's, outgate date, delivery appointment dates, which conveyed status reports.
153. Bakerly's statement in PFF 58 is inaccurate. Contrary to Bakerly PFF 58, Seafrigo's software in no way contributed to the detention and demurrage charges at issue.

154. Bakerly's statement in PFF 59 is inaccurate. Seafrigo is unsure what purported statement Bakerly is referring to in Bakerly PFF 59 but denies that it failed to operate in a diligent manner.
155. Bakerly's statement in PFF 60(b) is inaccurate. The need for drivers fluctuated during the relevant time period. The congestion at the ports and terminals dramatically reduced the number of moves which could be performed. This included the lack of chassis and gensets available. At that time, as it had done previously, Seafrigo invited Bakerly to look for additional dray capacity if it thought it was required. Bakerly declined the invitation and instead simply failed to pay Seafrigo for services provided.
156. Bakerly's statement in PFF 60(c) is inaccurate. The new Cargo Wise System in no way caused or contributed to the charges at issue. Instead, they were caused by the Bakerly warehouses and the extraordinary market conditions.
157. Bakerly's statement in PFF 60(d) is inaccurate. Seafrigo never lost track of any container, all of which were delivered. All containers were registered in either or both systems during the conversion.
158. Bakerly's statement in PFF 61 is inaccurate. Seafrigo did not lack diligence. Further CEVA is owned by the carrier CMA (which transported much of Bakerly's goods) and thus afforded it operational priority.
159. Bakerly's statement in PFF 62 is inaccurate. Seafrigo denies that the situation involving CEVA and Seafrigo referenced in Bakerly PFF 62 were comparable. CEVA is owned by CMA which provided much of the VOCC services for Bakerly and assessed much of the demurrage and detention charges at issue.

160. Bakerly's statement in PFF 63 is inaccurate. Seafrigo denies that the situation involving CEVA and Seafrigo were comparable and that Seafrigo lacked diligence.
161. Bakerly's statement in PFF 64 is inaccurate in part. Seafrigo admits that in one instance Bakerly hired two drivers to deliver its cargo. In over one thousand other instances, Seafrigo hired drivers to deliver Bakerly cargo. Seafrigo does not know what misinformation Bakerly is referring to in Bakerly PFF 64 and therefore denies same.
162. Bakerly's statement in PFF 65 is inaccurate. The detention and demurrage charges referred to in Bakerly PFF 65 were not related to any purported deficiencies in Seafrigo's program.
163. Bakerly's statement in PFF 65 is partially inaccurate. Seafrigo does not dispute Bakerly PFF 69 except that Seafrigo provided labeled folders referring to the Seafrigo Invoice number so as to permit Bakerly to identify which supporting documents related to which Seafrigo invoice.
164. Bakerly's statement in PFF 70 is misleading. Seafrigo does not understand what \$1,487.17. Bakerly is referring to as a new transaction in Bakerly PFF 70.
165. Bakerly's statement in PFF 77 is incomplete. Seafrigo does not dispute Bakerly PFF 77 except that Seafrigo later consolidated the "Cause of Charge" on the PIVOT tab to have a cleaner view. The items under b/h/l were consolidated under "Other /Cannot Confirm."
166. Bakerly's statement in PFF 79 is inaccurate. The calculations and conclusions drawn by Seafrigo are in no way "nonsensical" as Bakerly characterizes them in Bakerly PFF 79. The calculations instead reflect a review of the data and a careful analysis of the reason for the detention and demurrage charges accrued. SPPF. The charges were attributed to categories based upon the shipping records or by contemporaneous communications

regarding the shipments. SPPF. For example, if a container arrived at a terminal on X date and the Bakerly warehouse failed to schedule it for delivery until 10 days later, Seafrigo properly assessed the resulting demurrage as caused by Bakerly. Further, Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. Based upon its careful analysis, Seafrigo determined that it was at fault for \$159,849.08 of the detention and demurrage charges at issue. This amount was based upon instances where Seafrigo failed to schedule the pickup or return of containers. Seafrigo is not privy to whatever analysis, if any, Bakerly may have performed on the data.

167. Bakerly's statement in PFF 80 is inaccurate. Bakerly has provided no explanation or analysis as to how it reached the \$198,551.87 figure referenced in Bakerly PFF 80. Bakerly's figure greatly underestimates the charges resulting from the fact that its warehouses were grossly understaffed and unable to accept or unload containers. Bakerly apparently failed to account for the fact that at one point it reported that it terminated its relationship with Lineage. Later, Bakerly apparently was so desperate for warehousing services that it renewed its relationship with Lineage despite the abysmal service that led to its termination.

168. Bakerly's statement in PFF 81 is inaccurate. In Round 2 Seafrigo addressed numerous invoices for smaller amounts. Not surprisingly, this resulted in a larger number of transactions for which Bakerly was responsible and more amounts Bakerly owed. In regard to the comments on "NOTES", the excel sheet was a device to summarize all line items so that Seafrigo could easily identify the data into its respective categories. The

details were all placed in the Folders properly labelled with the Seafrigo Invoice Number so that all data could be easily retrieved. Somewhat astonishingly, Bakerly complains that it should not have to spend the time to review those folders.

169. Bakerly's statement in PFF 81 is misleading. Regarding the notation in Bakerly PFF 81 that "CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY," this was included to disprove Bakerly's contention that it did not know it was responsible for per diem/demurrage charges.

170. Bakerly's statement in PFF 83(a) is inaccurate. As set forth above, in Round 2 Seafrigo addressed numerous invoices issued for smaller amounts. This resulted in a larger number of transactions for which Seafrigo engaged in analysis and identified the reason the detention and demurrage charges were assessed.

171. Bakerly's statement in PFF 83(b)(i) is inaccurate. The invoice referenced in Bakerly PFF 83(b)(i) is in Bakerly's possession, along with supporting documents.

172. Bakerly's statement in PFF 83(b)(iii) is inaccurate. Where the spreadsheet referenced in Bakerly PFF 83(b)(iii) reflects "back up sent" Seafrigo supplied supporting documents establishing the same in the folders that match the Seafrigo Invoice Number.

173. Bakerly's statement in PFF 83(b)(iii) is inaccurate. There was no requirement that a backup be sent with every invoice Seafrigo issued. All the invoices in dispute are in Bakerly's possession, along with supporting documents.

174. Bakerly's statement in PFF 83(c)(ii) is inaccurate Regarding the invoices in Bakerly PFF 83(c)(ii), four separate invoices, for different amounts on different dates and for

different charges, were issued. The invoices were all properly issued and for accurate pass through amounts.

175. Bakerly's statement in PFF 83(c)(iii) is misleading. The invoice overcharged Bakerly for \$3,650, which amount is not being sought and will be credited.

176. Bakerly's statement in PFF 83(c)(iv) is misleading. Seafrigo does not know what the \$24,888.00 in Bakerly 83(c)(iv) is referencing. Similarly, Bakerly's statement in PFF 83(c)(v) is inaccurate. Seafrigo did pay the invoice amount of \$1,389.

177. Bakerly's statement in PFF 83(c)(vi) is inaccurate Seafrigo made a large payment via Paycorgo, \$7,565.00 of which was on behalf of Bakerly. Bakerly was properly invoiced for that amount.

178. Bakerly's statement in PFF 83(c)(vii) is inaccurate. Seafrigo made a large payment via Paycorgo, \$7,888.00 of which was on behalf of Bakerly. Bakerly was properly invoiced for that amount.

179. Bakerly's statement in PFF 83(c)(viii) is inaccurate. Seafrigo has proof of 3 payments totaling \$14,768. Seafrigo currently lacks proof of payment of the remaining \$3,052. If Seafrigo had not paid the amount invoiced by the MTO, the container would not have been released.

180. Bakerly's statement in PFF 86(c)(ix) is inaccurate. Bakerly listed a file in Bakerly 83(c)(ix) for which Seafrigo has no record. Seafrigo has no knowledge of this invoice, has never issued an invoice related to it, and is not seeking recovery of that amount.

181. Bakerly's statement in PFF 83(c)(x) is inaccurate. There was no requirement that a backup be sent with every invoice issued. Further, all of the invoices in dispute are in Bakerly's possession, along with supporting documents.

182. Bakerly's statement in PFF 83(c)(x)(2) is inaccurate. The Bakerly Notified category in Bakerly 83(c)(x)(2) refers to whether there were follow up communications regarding a particular invoice issued to Bakerly. It does not necessarily reflect that no invoice was issued or received. Further, all of the invoices in dispute are in Bakerly's possession, along with supporting documents.
183. Bakerly's statement in PFF 83(b)(ii) is inaccurate. All of the invoices referenced in Bakerly PFF 83(b)(ii) in dispute are in Bakerly's possession, along with supporting documents.
184. Bakerly's statement in PFF 83(c)(ii)(4) is inaccurate. Bakerly was fully aware that demurrage charges were being assessed when containers were not timely picked up.
185. Bakerly's statement in PFF 83(c)(ii)(5) is inaccurate. Seafrigo has no control over when Customs issues holds or when SSLs issue demurrage invoices.
186. Bakerly's statement in PFF 83(c)(ii)¹ is inaccurate Bakerly listed a file in Bakerly PFF 83(c)(ii) for which Seafrigo has no record. Seafrigo has no knowledge of this invoice, has never issued an invoice related to it, and is not seeking recovery of that amount.
187. Bakerly's statement in PFF 84 is inaccurate. Seafrigo was asked to provide supporting documents related to 1037 lines of disputed invoices and it did so. Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. Much of this information was previously in Bakerly's possession and reflects communications between the parties and the Bakerly warehouses regarding the warehouse's inability to timely accept or unload containers.

¹ This appears as PFF 83(c)(ii) following PFF 83(c)(x). Presumably it is meant to be PFF 83(c)(xi).

188. Bakerly's statement in PFF 86 is inaccurate. Bakerly fails to provide any meaningful calculations as to how it was able to conclude that only \$198,551.87 of the disputed detention and demurrage charges are its fault. Incredibly, it appears to largely limit the charges falling in that category to invoices issued between July and October. This is baseless given that, as reflected in Seafrigo's Supplemental Statements of Fact, Bakerly warehouse deficiencies date back to December of 2020, throughout 2021 and into early 2022.
189. Bakerly's statement in 86 is inaccurate. Bakerly also seeks to trivialize the global pandemic that has crippled the world economy for close to 2 years, leading to overwhelming capacity issues, port congestion, and lack of equipment.
190. Bakerly's statement in PFF is inaccurate, Seafrigo denies that it provided minimal backup documentation.
191. Bakerly's statement in PFF 90 is inaccurate. Seafrigo continuously provided invoices and supporting documentation. As reflected in the email chain referenced in Bakerly PFF 90, in this instance invoices and backup had already been sent.
192. Bakerly's statement in PFF 89 is inaccurate. In Seafrigo's message of February 10, 2022, while it indicated that there were data gaps, Seafrigo had been providing invoices and supporting documents since December of 2020. The weekly report sought merely consisted of invoices and backup that were being sent on a transactional basis.
193. Bakerly's statement in PFF 92 is misleading. Bakerly admits that it intended to pay the outstanding detention and demurrage invoices which are the very charges it now claims it has never owed. Seafrigo submits that Bakerly was provided with information regarding the detention and demurrage charges at issue. Further, Seafrigo continued to

communicate with the Bakerly team on all deliveries through email and via a daily report that was automatically being sent to various Bakerly team members.

194. Bakerly's statement in PFF 93 is inaccurate. Nowhere in the email referenced in Bakerly PFF 93 is there a discussion of driver shortages and port congestion. Instead, it reflects a conversation whereby Seafrigo informed Bakerly that Seafrigo would no longer pay detention and demurrage on behalf of Bakerly and that it needed to find other arrangements to pay for future charges. The remainder of the email chain reflects that Bakerly intended to pay the demurrage that was owed.

195. Bakerly's statement in PFF 99 is inaccurate. Seafrigo admits that it is not responsible for charges assessed due to government holds. Seafrigo timely noticed Bakerly of the hold when it was made aware of it.

196. Bakerly's statement in PFF 100 is inaccurate. Bakerly's falsely asserts in Bakerly PFF 100 that my statements are not persuasive. Further, the true statements in (a) and (b) are non sequiturs and have no logical basis.

197. Bakerly's statement in PFF 101 is inaccurate. Bakerly's PFF contravenes its legal argument made in support of Motion for Partial Judgment that pursuant to Seafrigo's tariff, Seafrigo, not Bakerly, is responsible for detention and demurrage charges. Bakerly now apparently may have abandoned that argument.

198. The basis for the demurrage charges assessed can be obtained through information provided by Seafrigo and by publicly available information. The PayCargo receipts is provided by Seafrigo reflect the pickup date for the container at issue. The publicly available Maher Terminal website shows the Last Fee Day for every container. Thus, the number of days of demurrage being charged can be readily calculated. Similarly, the

terminals' and carriers' tariffs, which are also publicly available, reflect the applicable demurrage rates. Thus, one can readily determine the basis for the charges at issue.

199. Bakerly used that publicly available information in (incorrectly) determining the amount of the pass through charges rates at issue.

I hereby declare under penalty of perjury that the foregoing is true and correct.

Dated May 30, 2023

A handwritten signature in blue ink, appearing to read "Alfonse Raffa", is positioned above a horizontal line.

Alfonse Raffa